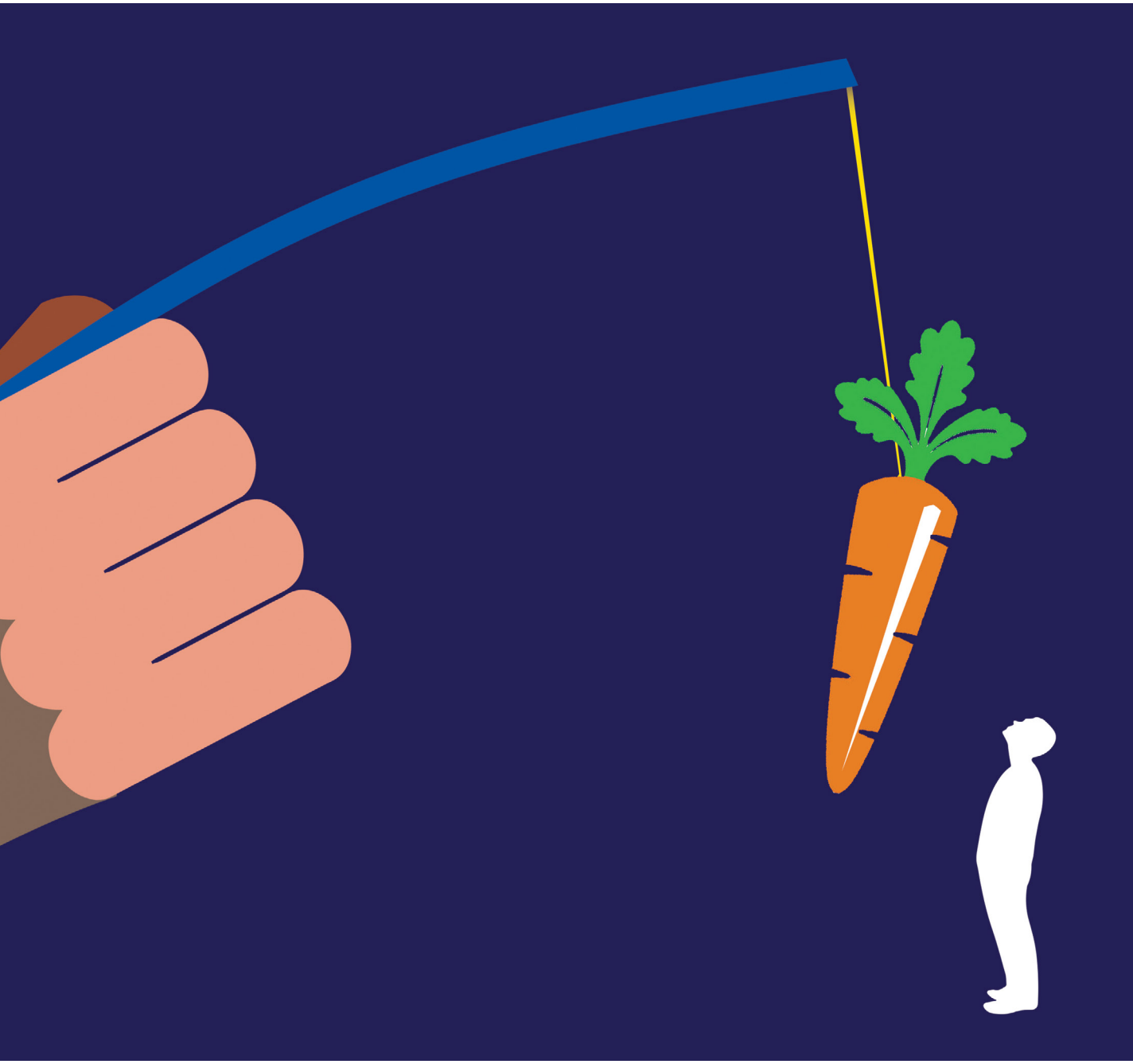
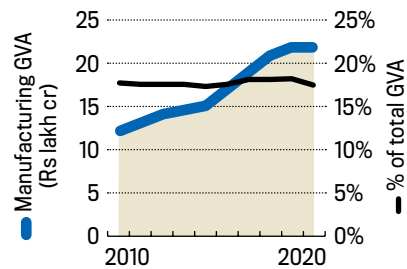


by an average of 9.5 per cent per year between FY06 and FY12, but growth declined to 7.4 per cent then over the next year. In FY20, manufacturing generated 17.4 per cent of India's GDP, little more than the 15.3 per cent it had contributed in 2000. Compared to this, Vietnam's manufacturing sector has doubled its share of GDP during the same period. In the past 13 years, the share of India's manufacturing sector in employment increased by one percentage point, against a five-point rise for the services sector.

The PLI scheme was announced

WHY WE NEED PLI

THE CONTRIBUTION OF MANUFACTURING TO GVA* HAS BEEN NEARLY STAGNANT



*Gross value added, a measure of the value of goods and services produced in the economy

across several sectors—be it pharmaceuticals, electronics, solar PV modules, auto components or food products (see *The PLI Universe*). It essentially entails a lump-sum transfer of subsidies proportional to incremental sales. Explicit sales targets are set for a company to qualify for the subsidies. The financial incentives, however, are offered after they have achieved certain production targets. Every quarter, the government monitors three key policy objectives—domestic value addition, job creation and exports—which the applicant company